

The complaint

Mr L complains that Endsleigh Insurance Services Ltd didn't tell him that the escape of water excess on his property owner's policy had increased. When Mr L subsequently made a claim for damage caused by an escape of water he was disappointed to receive a lower settlement from the insurer than he was expecting.

What happened

Mr L is a lessee and a director of a management company that took out a property owners insurance policy through Endsleigh, a broker. The policy was renewed in June 2019 with renewal documents being sent out in May 2019 which included a letter (stating that Endsleigh worked with just one insurer), a renewal invitation, a statement of fact and a renewal schedule. Page one of the schedule included information about policy endorsements. It stated: *"Increased Escape of Water excess" – we will not be liable for the first £500 of each and every claim caused by contingency 10, escape of water.*" In previous policy years the escape of water excess had been £200.

The insurer also issued a *'Notice to Policyholder'* explaining the increase to the escape of water policy excess which Endsleigh included within the renewal documents.

The policy premium was paid on 17 June 2019 and it renewed on 20 June 2019.

On 18 June 2020, Mr L made a claim on the policy for damage caused to his floor by an escape of water from a broken toilet cistern. On receiving settlement for the claim Mr L was surprised to find he'd received £300 less than he was expecting. He queried the figure with the insurer and was told the applicable policy excess was £500, not £200.

Mr L complained to Endsleigh that it had failed to notify him about the increased escape of water excess on the policy and that he was £300 out of pocket as a consequence. Endsleigh looked into Mr L's complaint and issued him with a final response letter. It said it didn't think it'd done anything wrong as it'd told him prior to the June 2019 renewal that the excess was increasing to £500 for escape of water claims. And Endsleigh said that the 2020 renewal schedule stated that *'Excess B'* was £500 which related to escape of water claims.

In response to Endsleigh's findings Mr L said he accepted he'd been told about the increased excess in 2019 but that the 2020 renewal documents hadn't included this information and, in fact, indicated the escape of water excess was £200. Mr L then brought his complaint to this service.

Our investigator looked into Mr L's complaint but didn't recommend that it was upheld. She thought that Endsleigh had made it clear across more than one communication that the excess was increasing to £500 in 2019. Mr L responded to our investigator to say that Endsleigh had provided him with incorrect documentation at the 2020 renewal because the policy schedule merely listed the policy excesses as A, B and C which were £200, £500 and £1,000 respectively but nowhere did it state which contingencies (insured events) did each of the three excesses apply to.

Our investigator asked Endsleigh to explain where in the 2020 policy documents did it explain which excess applied to which contingency. Endsleigh replied and said that it'd informed the insurer that nowhere in the documents had it provided that information. It said it hoped the insurer amended its documents. Finally, Endsleigh said that if Mr L wanted to complain about the 2020 renewal then he would need to make a separate complaint so it could investigate.

Mr L asked for his complaint to be referred for an ombudsman's decision.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

As our investigator has explained to Mr L, I can only consider here the complaint he made to Endsleigh (and which it issued its final response to in October 2020) that it hadn't told him about the increased escape of water excess and that he was £300 out of pocket as a result. I know that after Endsleigh issued its final response, Mr L said that the 2020 renewal documents hadn't made it clear that there was a £500 policy excess for escape of water claims for the forthcoming policy year but I'm afraid that I can't look at that complaint here. Mr L must first complain to Endsleigh about the 2020 renewal documents it issued him with and it must be given the opportunity to investigate that complaint. If Mr L is dissatisfied with the outcome of Endsleigh's investigation then he can bring a further complaint to this service.

Turning now to this complaint, I can see that Mr L did accept, in response to Endsleigh's findings, that he had been told about the increased excess at the 2019 renewal. That being the case, that was the applicable excess when he made his escape of water claim almost a year later. From the evidence I've seen, and to which I've referred above, it was made clear across more than one of the documents Endsleigh sent as part of the 2019 renewal, that the escape of water excess was increasing to £500. So I'm satisfied that Endsleigh did what it was required to do in these circumstances.

And I can't look here at the decision to increase the escape of water excess because that's a matter for the insurer. Endsleigh is Mr L's broker and is responsible for the administration of the policy. And in this role I'm satisfied it communicated the insurer's decision to increase the excess clearly to Mr L. As Mr L accepted the terms as offered in 2019, making payment just before the renewal date, I can only assume he was happy with them as presented.

It follows that I can't reasonably uphold Mr L's complaint. I think, taking all the circumstances into account, that Endsleigh has treated him fairly by communicating the increase in the escape of water excess to him prior to the policy renewing in June 2019.

My final decision

My final decision is that I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr L to accept or reject my decision before 1 July 2021.

Claire Woollerson
Ombudsman